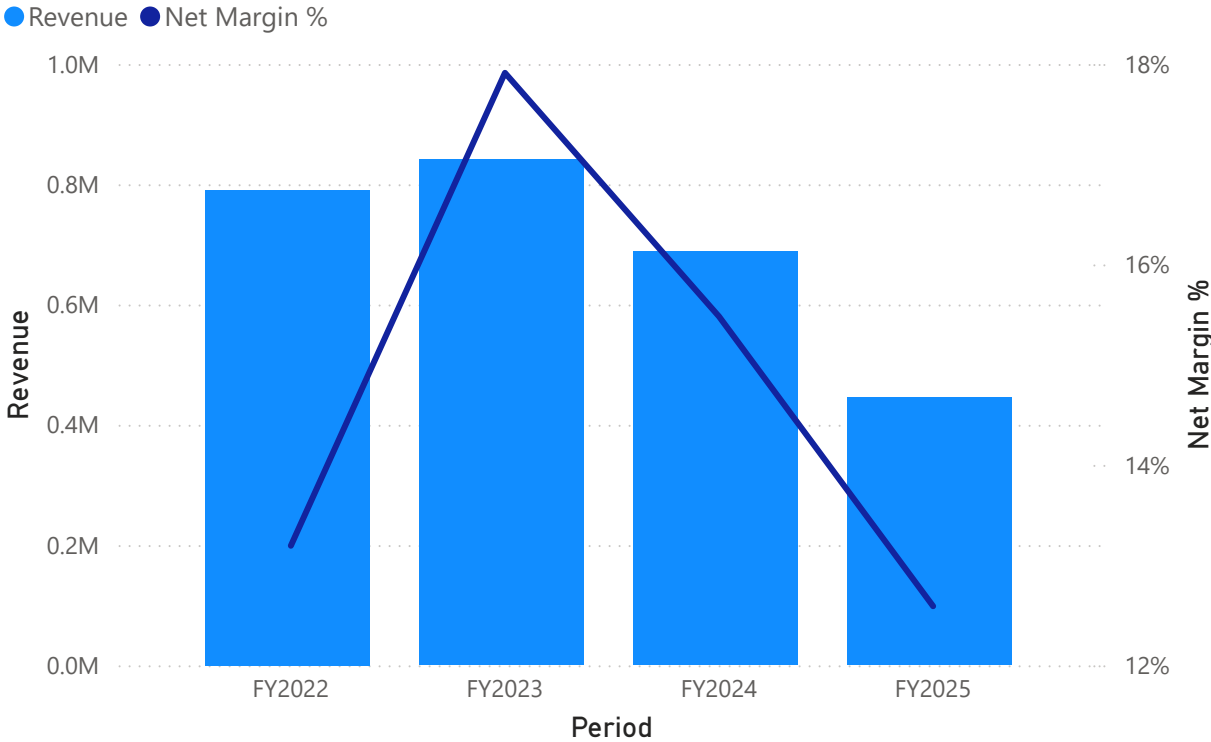


Skyworld Development Berhad - 4 year Financial Overview

Revenue (FY2025, RM'000)	Net Income (FY2025, RM'000)	Current Ratio (FY2025)	ROE (FY2025, %)
445K	56K	2.01	6.4%

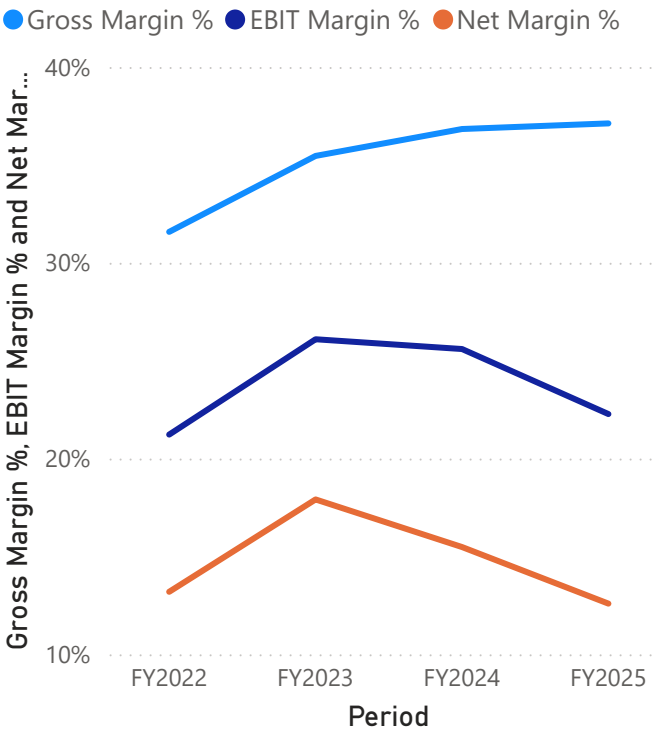
Revenue collapsed 47% from FY2023 peak; net margin held above 12%



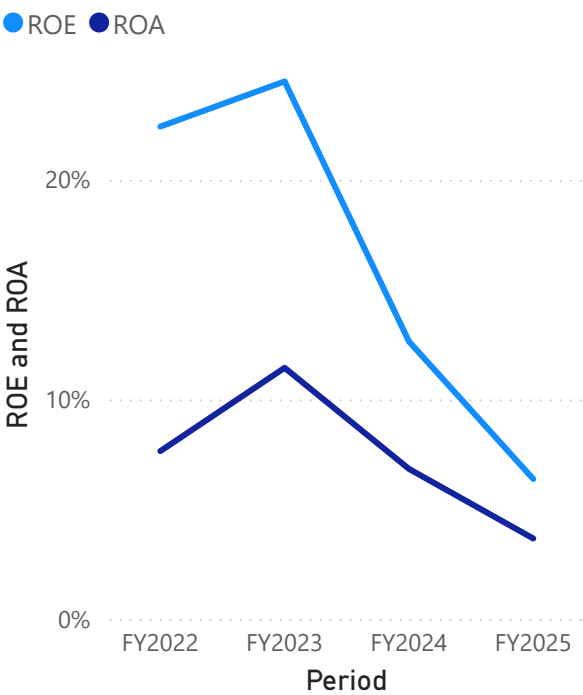
Source: SkyWorld Annual Reports FY2022-FY2025. RM'000. Prepared by Gan Kai Li.

Profitability & Returns - Skyworld Development Berhad

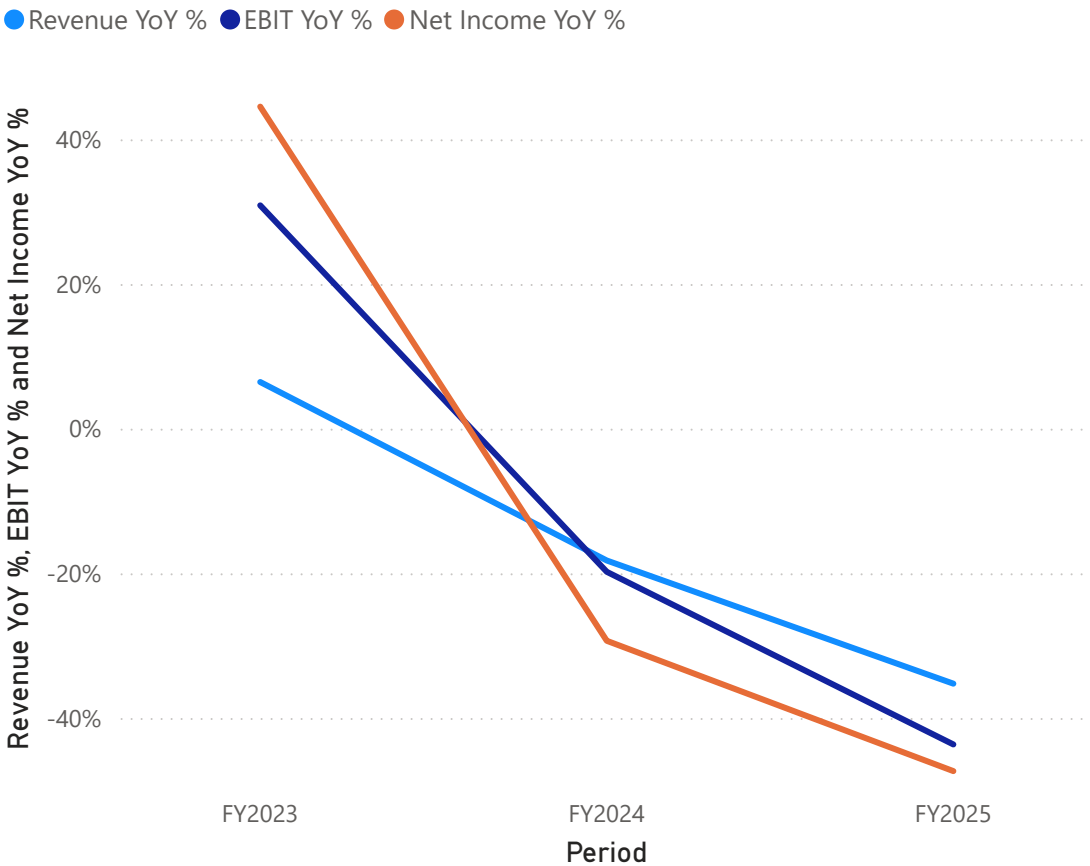
Margins held despite revenue collapse



Returns fell sharply as earnings halved



YoY growth turned sharply negative in FY24-25



DuPont decomposition - three drivers all worked against the firm

	FY2022	FY2023	FY2024	FY2025	Total
Net Margin %	13.2%	17.9%	15.5%	12.6%	15.1%
Asset Turnover	0.58	0.64	0.44	0.29	0.48
Equity Multiplier	2.93	2.14	1.85	1.74	2.06
ROE	22.4%	24.5%	12.6%	6.4%	14.9%

ROE compressed from 27.9% (FY23) to 6.4% (FY25). DuPont decomposition shows all three drivers contracted simultaneously: net margin (-30% from peak), asset turnover (revenue declining on growing asset base), and equity multiplier (disciplined deleveraging). An auditor reviewing this would flag impairment risk on inventory and receivables given the asset turnover collapse, and verify going-concern given the earnings trajectory.

Liquidity & Gearing - Skyworld Development Berhad

Current Ratio (FY2025)

2.01

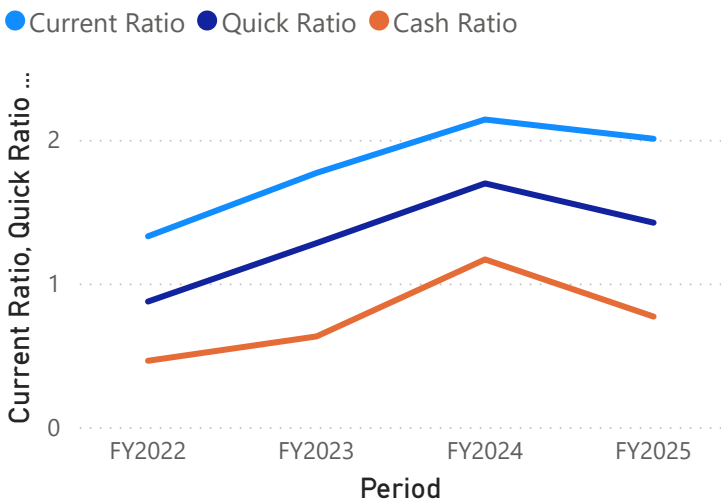
Quick Ratio (FY2025)

1.42

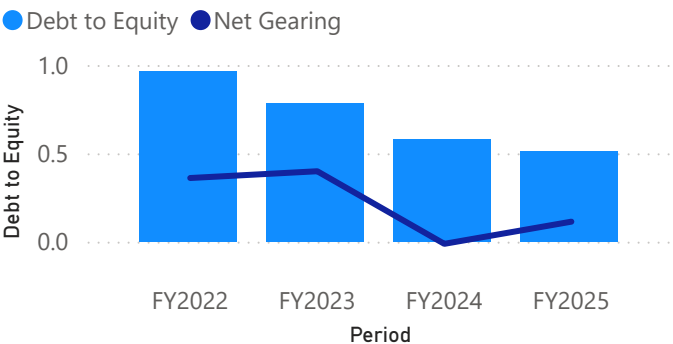
Cash Ratio (FY2025)

0.77

Liquidity improved through FY24 then softened in FY25



Disciplined deleveraging - D/E nearly halved

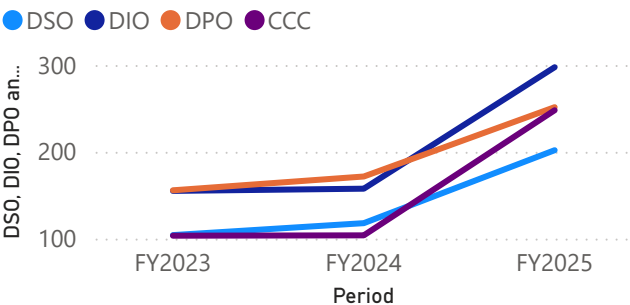


Interest Coverage (FY2025)

6.76

Down from 14.9x in FY2023. Still safe, but the two-year decline is steep — monitor as part of going-concern assessment.

Working Capital cycle nearly doubled in FY25



Working Capital days - detail

	FY2023	FY2024	FY2025
DSO	104	118	202
DIO	155	157	297
DPO	156	172	251
CCC	103	104	248

Cash Conversion Cycle expanded from ~103 days (FY23–24) to 248 days (FY25). For a property developer under MFRS 15 (point-over-time recognition), this signals two specific audit risks: (1) potential impairment of inventory (property development costs + completed units held for sale) under MFRS 102, where unsold inventory is sitting nearly twice as long; and (2) elevated ECL on trade receivables and contract assets under MFRS 9. Both would warrant substantive testing in the year-end audit, with particular attention to NRV testing on individual development projects.



Risk Flags - ISA 520 Analytical Review

	FY2023	FY2024	FY2025
Gross Margin YoY %	12.3%	3.9%	0.8%
EBIT Margin YoY %	22.9%	-1.9%	-13.0%
Net margin YoY %	35.8%	-13.6%	-18.7%
ROE YoY %	9.2%	-48.4%	-49.6%
ROA YoY %	49.7%	-40.3%	-46.4%
Current Ratio YoY %	33.3%	21.0%	-6.3%
Quick ratio YoY %	46.6%	32.5%	-16.1%
Cash Ratio YoY %	36.8%	85.1%	-34.1%
Debt to Equity YoY %	-18.5%	-26.0%	-12.1%
Net gearing YoY %	10.6%	-103.1%	-1020.5%
Interest Coverage YoY %	57.3%	-26.7%	-37.9%
DSO YoY %		13.2%	71.4%
DIO YoY %		1.6%	88.9%
DPO YoY %		10.2%	46.6%
CCC YoY %		0.38%	138.93%

Risk Flag thresholds (ISA 520 analytical review):

- $|\Delta| > 20\%$ — investigate; document explanation in working papers.
- 10–20% — note in working papers; corroborate with management commentary.
- $< 10\%$ — within expected variation.

Auditor exercises judgement: thresholds are guidance, not bright lines. Movements within tolerance can still warrant attention if directionally inconsistent with peer or industry trends.

FY25 hotspots — areas warranting substantive testing:

- DSO +71%, DIO +89%, CCC +139% — inventory and receivables impairment focus.
- Interest Coverage -38% — going-concern review needed.
- ROE / ROA both down ~55% — confirm no impairment indicators triggered.
- Net Gearing +1,020% (base-effect distortion: small denominator FY24 → larger absolute FY25; review as level, not %).

Data Sources, Methodology & Limitations

Data sources

SkyWorld Development Berhad Annual Reports for financial years ending 31 March 2022, 2023, 2024, and 2025. Audited group accounts (parent + subsidiaries), prepared under Malaysian Financial Reporting Standards (MFRS), aligned with IFRS. All amounts in RM '000.

Methodology

30+ DAX measures built on a star-schema data model (Raw Data fact table linked to Period dimension). Year-on-year changes calculated as $(\text{current} - \text{prior}) / \text{prior}$. Working capital days (DSO/DIO/DPO/CCC) computed on average balances of opening and closing positions. Returns measures (ROE/ROA) shown on year-end balances; an average-balance version would be modestly different.

Property-developer specific caveats

- "Inventory" comprises current portion of property development costs and completed properties held for sale; the larger non-current land bank is excluded from inventory but included in total assets.
- Revenue is recognised over time under MFRS 15 (percentage-of-completion). Contract assets are included within trade and other receivables for DSO purposes.
- Progress billings and customer deposits sit within other current liabilities and inflate the current ratio denominator.
- DIO levels (155–297 days) are normal for property developers given multi-year project cycles. Compare YoY rather than versus other industries.

Limitations

- Four years of data rather than five — FY2021 figures pending incorporation from AR 2022.
- No segment-level disaggregation — analysis treats the group as a single business unit.
- No peer comparison — a fuller audit context would benchmark against Mah Sing, S P Setia, IOI Properties, etc.
- Bank covenant terms are not in scope. Interest coverage of 6.76x is healthy in absolute terms but covenant headroom is the actual binding constraint.
- No project-level NRV testing — a real audit would test individual development project recoverability under MFRS 102.
- This is a portfolio piece for personal CPD purposes and not an audit opinion.

About this project

Built by **Gan Kai Li** as part of a self-directed audit-analytics portfolio. ICAEW Professional Level candidate, incoming Big Four audit associate. Source data, .pbix file, and methodology available at <https://github.com/gankaili88>.